

INTERVIEW | **DAYANIDHI MARAN**

"We need to grab a bigger global market share"

Textile Minister Dayanidhi Maran speaks to Assistant Editor NIVEDITA MUKHERJEE on the positive signs and problems in the textiles sector, and plans to take Indian textiles places. Excerpts:

Q. What are you doing to help the industry?

A. We have given three stimuli. We have to watch now. Whatever stimulus you give, it does not assure you market access. That way it does not make any difference. I am relieved that the decline has been arrested. It can't get worse from here. That, and a strong domestic consumption come as a blessing. The National Fibre Policy is also looking at organic cotton of which India is the largest producer. Finally, there is a need to make efforts to create more marketing and awareness on technical textiles like diapers and those used for medical purposes.

Q. Why do we fail to establish ourselves abroad in a big way?

A. The Ministry of Commerce funds the market access initiative but everyone does their own thing. The Textile Council does things separately as do the councils of apparel, silk and handicrafts. We have to do things together to succeed. The other problem is that Indian goods are taxed. Bangladeshi goods are not. They are 10 per cent cheaper than us. The ministry is working on a survey to help the industry know where they are lacking and what are their strengths.

Q. You have been very active

overseas lately.

A. The strategy is we should make more noise. In recessionary times, until and unless we are more visible, we will not be able to get more market share. Also, 60 per cent of our textile exports are to the EU and the US which are still under the grip of recession. Let us start looking to the East, to places like Australia where we have never paid attention.

Q. What are your plans in the other foreign markets?

A. Australia, South African nations are the big opportunities for India. We want to hold more fairs in Australia and I have asked industry to ensure that these fairs must have fashion shows. At the same time we are planning roadshows in Europe to enhance our presence and I have asked the apparel sector to go in for value addition to cater to the high end market. Why should we cater only to the masses? The idea is to send out the message—hey look, India is a strong actor.

Q. Do you see signs of recovery in textiles?

A. Definitely, there has been a turnaround in the textile industry since the last three months. For the first time, the largest ever amount of Rs 2,546 crore, as subsidy under TUFS, has been released in a single tranche and credited to beneficiaries accounts in record three days. This has been a stimulus to the industry. The job losses were severe. It is textiles, the largest employer after agriculture, which has accommodated the bulk of the jobless workers.



MARAN INAUGURATES A NATIONAL TEXTILE MILLS UNIT AT COIMBATORE

(EPCG) Scheme have been provided only to units not benefited under TUFS. Since most textile companies take TUFS, these benefits will be denied to all of them. These scrips should have been extended but will only run till September. "It is an anti-textile policy," says Nair.

But time may be running out for India to grab its place in the global textile trade. Though Indian exporters are very proficient, the kind of aggressive fiscal backing they need to cut export costs and counter growing competition even from small countries like Bangladesh is just not there. In fact, as Maran points out, half the time they are chasing the government for incentives. "It is no longer a matter of choice for India but an imperative, as Indian goods are over 20 per cent costlier than those supplied by competing countries like China, Vietnam and Cambodia," says Apparel Export